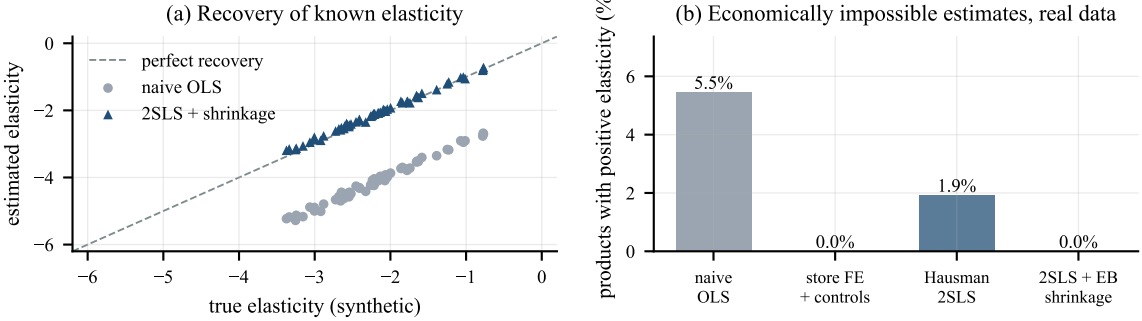
(a) Recovery of known elasticity
perfect recovery
naive OLS
2SLS + shrinkage
estimated elasticity
true elasticity (synthetic)
0
−2
−4
−6
−6
−5
−4
−3
−2
−1
0
(b) Economically impossible estimates, real data
products with positive elasticity (%)
0
2
4
6
5.5%
0.0%
1.9%
0.0%
naive OLS
store FE + controls
Hausman 2SLS
2SLS + EB shrinkage